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NegotiateAI

Platform Context & Understanding Document

VisagioX Hackathon | Problem Statement #4 | April 2026

What It Is	Who It Replaces	The Core Insight
A two-sided AI procurement negotiation platform — buyer and vendor both have an interface and an AI agent, connected through one shared deal-making layer.	SAP Ariba, Coupa, Oracle Procurement. 25-year-old systems that record what happened. We build the system that makes it happen.	Every procurement tool ever built serves only the buyer. Vendors are an afterthought. We give both sides equal intelligence for the first time.

Purpose of this document: Give every team member a complete understanding of the problem, the solution, and how it all works — before building anything.

Part 1 — The Problem: Why Procurement Is Broken

Procurement is the process of a company buying things it needs. Every enterprise on the planet does this constantly — thousands of purchases a year, from laptops to legal services to industrial equipment. It sounds routine. In practice, it is one of the most painful, expensive, and poorly managed processes in business.

1.1 What Happens Today — A Real Example

> *You work at a company. You need 500 office chairs. Here is what actually happens.*

1 **Fill out the form**
You open the procurement system — SAP Ariba, or maybe just a PDF form. It has 15 fields. You do not know what "cost centre" means. You guess. You hit submit.

2 **Rejection**
Two days later: rejected. Wrong budget code. You fix it, resubmit. It now sits in your manager's approval queue. She is travelling. Nobody told you that.

3 **The approval chain**
After a week, your manager approves. It goes to Finance for budget check. Then to the procurement team who have never heard of you. They email asking for more information.

4 **Finding a vendor**
Two weeks in: approved. You now have to find a vendor. You email three chair companies. One replies in 4 days. Another in 8. The third does not reply.

5 **Negotiation via email**
You go back and forth with the vendor over email. Price, payment terms, delivery timeline. Each round takes 2–3 days. The vendor has no idea how serious you are.

6 **The PO**
Someone manually types up a purchase order. It gets emailed. Six weeks after you first identified the need — you have chairs on order.

> ⏱ **The time cost is staggering**
> The average purchase order takes 15 days to process at a typical company. Top-performing automated teams process the same PO in under 5 hours. That gap represents billions in lost productivity annually.

1.2 Every Stakeholder Is Frustrated — For Different Reasons

🧑‍💼 The Employee Who Needs Something (Budget Owner / Requester)

What they want: Get what they need quickly, without bureaucracy.

What they struggle with: Complex forms, unclear policy, no visibility into where their request is. They give up and use a credit card — creating "maverick spend" the company cannot track or control.

📋 The Procurement Manager

What they want: Focus on strategic supplier relationships and cost savings.

What they struggle with: Buried under hundreds of manual requests. Spends 14 hours a week on sourcing admin. Has no real-time visibility into what the company is spending or whether prices are fair.

💰 The CFO / Finance Director

What they want: Full spend visibility, policy compliance, maximum savings.

What they struggle with: Discovers overspending at month end. No real-time budget tracking. Shadow IT purchases bypassing procurement entirely. Cannot prove procurement's value to the board.

🏭 The Vendor / Supplier

What they want: Win business, get paid on time, build long-term relationships.

What they struggle with: Submits a quote and enters a black hole. No system, no portal, no updates. Makes awkward phone calls to chase status. Gets ghosted. Never knows why they lost a bid.

1.3 The Numbers Behind the Pain

50% of procurement teams still use spreadsheets	**$15** average cost to process one invoice manually	**15 days** average PO processing time at typical companies	**5–16%** of targeted savings lost to maverick spending annually
43% of companies use manual invoice approval	**$8B+** lost annually to HR-equivalent procurement inefficiency	**80%** of CPOs plan to deploy AI in procurement within 3 years	**6%** of enterprise AI use cases currently in procurement — massive gap

1.4 What Existing Tools Do and Where They Fail

Tool	What It Does / Where It Fails
SAP Ariba	Market leader. Records procurement data, manages supplier network. But: complex 12-month implementation, users hate the interface, expensive. It records what happened — it does not help make it happen.
Coupa	Good spend visibility and analytics. But: $2,500+/month, cumbersome navigation, built for large enterprises only. Same fundamental problem — passive data store.
Pactum	The most exciting AI newcomer. Negotiates with suppliers autonomously via chat. Used by Walmart. But: handles negotiation only, no intake/approvals/PO generation, and only serves the buyer — vendors have no portal.
Zip HQ	Best intake experience in the market. Clean interface for submitting requests. But: AI negotiation is brand new and shallow. Still no vendor-side tooling.
Levelpath	New AI-native platform covering intake → sourcing → PO. Growing fast. But: no autonomous negotiation, no vendor portal.
The Gap	No platform combines: full workflow (intake → negotiation → PO) + genuine AI negotiation + both buyer AND vendor with equal tooling + shared deal intelligence. This is what NegotiateAI builds.

Part 2 — The Solution: NegotiateAI

NegotiateAI is a two-sided AI-native procurement platform. It replaces the broken email-and-form process with a single intelligent system that handles the complete journey — from the moment someone identifies a need all the way to a signed purchase order — with AI doing the heavy lifting on both sides of every deal.

2.1 The Big Picture — One Platform, Two Sides

🏢 BUYER PORTAL	⟺ Shared Deal Layer	🏭 VENDOR PORTAL
Submit requests in plain English One-tap approvals AI negotiation agent (buyer side) Live deal dashboard Spend intelligence & benchmarks Contract renewal alerts		Live status on all active bids AI negotiation agent (vendor side) Payment pipeline visibility Performance scorecard Feedback on lost bids Upcoming opportunity alerts

> 🔑 **The Most Important Thing to Understand**
> Both portals read from and write to the same database. When the buyer AI sends an offer, it appears on both screens simultaneously — no delay, no emails, no manual updates. The shared data layer is the magic. Neither party can see the other's private parameters, but they share the same deal thread in real time.

2.2 The Complete Process — From Need to PO

Here is the full workflow NegotiateAI handles, showing what happens at each stage and who or what is responsible:

Stage	What Happens / Who Does It
1. Natural Language Intake	Employee types what they need in plain English. AI parses the description into structured fields (category, quantity, budget, timeline). No forms. No codes. No training required.
2. Policy Check	AI instantly checks the request against company procurement policy. Is it within budget? Right category? Does it need IT security review? Flags issues before they waste anyone's time.
3. Approval Routing	AI determines the correct approval chain based on spend amount and category. Sends each approver a notification with full context. One-tap approval or rejection. System chases non-responders automatically.
4. Vendor Selection	Approved request is sent to pre-approved vendors in the relevant category. Each vendor sees it in their portal. AI outreach is structured and professional.

5. AI Negotiation	AI agents on buyer and/or vendor side conduct the negotiation. Structured offer/counter-offer rounds. Each side only sees what they are supposed to see. AI explains its reasoning at every step.
6. Human Approval Gate	When agents reach agreement, both humans receive a notification: "Your AI reached this deal — approve to proceed." Neither AI can commit the company without final human sign-off.
7. PO Generation	Both humans approve. Purchase order generated automatically from agreed terms. Sent to both parties. Logged in the system. Status updates on both dashboards simultaneously.

2.3 What Each Interface Looks Like in Detail

The Buyer Interface

- Home Dashboard: Active negotiations with status, spend vs budget tracker, savings attributed this month, contract renewal alerts, AI agent performance metrics
- Intake Screen: Single text box — describe what you need. Parsed result card appears showing AI-extracted fields. No forms.
- Approval Queue: One-tap approve/reject with full context pre-loaded — requester, item, budget impact, policy compliance status
- Negotiation View: Live chat thread (buyer AI on right, vendor on left), strategy sidebar showing target/current/max price, AI reasoning panel explaining each decision, round counter
- Vendor Management: Performance scorecards for all vendors, spend history, contract status, benchmark comparison

The Vendor Interface

- Home Dashboard: All active negotiations across all buyer relationships, pending responses highlighted, payment pipeline with predicted dates
- Negotiation View: Same chat thread from vendor perspective — buyer AI messages on left, vendor messages on right. Clear "AI Agent" label on all buyer AI messages. Floor price indicator private to vendor.
- Parameter Setup: Vendor sets their floor price, preferred payment terms, lead time constraints. These feed their AI agent but are never visible to buyers.
- Performance Scorecard: Delivery rate, response time, buyer satisfaction scores, win/loss rate with trend analysis
- Payment Pipeline: Every invoice tracked from submission to payment. Predicted payment date based on approval stage.

2.4 The Benchmark Intelligence Layer

Every completed negotiation contributes one anonymised record to a shared intelligence pool — category, deal price, terms achieved, no identifying information. Over thousands of negotiations, this creates something no single company or tool has:

- Real market rate data — not what vendors claim, but what deals actually close at
- Category-level benchmarks: "office furniture at 500 units typically closes at $185–195 in Australia"
- Vendor behaviour patterns: which vendors move on price, which hold firm, which respond to volume
- Savings attribution: AI-generated report showing exactly how much was saved vs market rate this month

> 🔒 **Privacy Design**
> Individual company data is never exposed. The benchmark is statistical — a distribution across thousands of transactions. It works exactly like Glassdoor for salaries: everyone contributes anonymously, everyone benefits from the collective intelligence. Competitors on the same platform cannot see each other's data.

Part 3 — How It Works: The Technical Layer

This section explains the technology behind NegotiateAI in plain English. Every team member should understand this — not to build all of it, but to understand what the system is doing at each step and why the technology choices were made.

3.1 The Mental Model — A City

> *Think of the whole system like a city. Buildings = databases where information lives. Roads = APIs that move information between places. Traffic lights = workflow rules that control what happens when. Workers = AI agents that do tasks automatically. The post office = notifications that tell people when something needs their attention.*

3.2 The Four Core Technologies

Technology	Role in System	Simple Analogy	What It Does
Next.js + Vercel	The faces	The shopfronts	What the user sees and clicks. Both buyer and vendor portals are Next.js apps deployed on Vercel with zero server management needed.
Supabase	The brain	The filing cabinet + live wire	Stores all data. Runs the live updates (Realtime). Handles login (Auth). One database, both portals read from it.
n8n	The factory	The automated assembly line	When something happens, n8n picks it up, runs a series of steps, and moves the result to the next stage. Leo's primary tool.
OpenAI API	The intelligence	The smart employee	Called whenever the system needs to understand text, make a decision, or generate a professional response. GPT-4o-mini.

3.3 How the Intake → Approval Chain Works Technically

When an employee submits a request, here is what happens step by step — in technology terms:

1	**Frontend → Supabase** Employee types in Next.js form → hits submit → Next.js sends the raw text as a POST request to an n8n webhook URL → simultaneously stores a draft row in Supabase purchase_requests table.
2	**n8n → OpenAI (Parsing)** n8n wakes up → sends the raw text to OpenAI GPT-4o-nano with a prompt: "Extract category, quantity, budget, timeline. Return JSON only." → OpenAI returns clean structured data → n8n updates the Supabase row with the parsed fields.
3	**n8n → Approval Routing** n8n reads the company's approval policy rules from a Supabase table → determines who needs to approve based on spend and category → creates rows in the approvals table for each required approver → sends in-app notifications.
4	**Approver taps → n8n resumes** Approver sees notification in their dashboard → clicks Approve → Next.js calls the n8n webhook /approve → n8n updates the approval row → checks if all required approvals are done → if yes: updates purchase_request status to "approved" → fires the negotiation workflow.
5	**Supabase Realtime → Both screens update** Every status change in Supabase triggers a Realtime event → both the buyer's dashboard and the vendor's portal are subscribed to these changes → they update instantly without anyone refreshing the page. This is how both screens show the negotiation progressing live.

3.4 How the AI Negotiation Loop Works Technically

This is the most important technical component. When a request is approved, n8n starts this loop:

1	**n8n reads parameters** Fetches the negotiation row from Supabase: target_price, max_price, walkaway_price, required terms, benchmark price. These are the buyer's private instructions to the AI.
2	**AI generates opening offer** n8n calls OpenAI with a system prompt containing all parameters and strategy instructions. OpenAI returns JSON: { action: "counter", price: 178, message: "...", reasoning: "..." }. n8n writes this to negotiation_messages table.
3	**Supabase Realtime fires** The INSERT into negotiation_messages triggers Realtime → buyer portal shows new message on right side → vendor portal shows same message on left side. Both screens update within milliseconds.
4	**n8n Wait node — paused**

	n8n hits a Wait node and completely stops. It is not polling or looping. It sits idle, consuming zero resources, waiting for the vendor to respond. This can wait minutes or hours.

5	**Vendor responds → n8n wakes** Vendor types their counter-offer in the vendor portal → clicks Send → Next.js calls the n8n /vendor-reply webhook with the message and negotiation_id → n8n wakes up and reads the vendor's message.

6	**AI analyses and counter-offers** n8n fetches the full conversation history → calls OpenAI with the entire thread + buyer parameters → OpenAI reasons about the best next move (using BATNA/ZOPA strategy) → returns counter-offer → n8n writes it to DB → Realtime fires → both screens update.

7	**Loop continues or closes** If action = "counter": go back to step 4. If action = "accept": update negotiation to "agreed", create purchase_order row, send both humans an approval notification. If confidence drops below 85% or walk-away is breached: escalate to human.

3.5 The AI Negotiation Strategy — BATNA and ZOPA

The AI does not just pick random prices. It uses well-established negotiation theory programmed into its instructions:

BATNA	Best Alternative to Negotiated Agreement. The AI knows: "If this deal falls through, what is the best alternative?" This sets the walk-away point. The AI will not accept terms worse than the walk-away because the alternative (finding another vendor) is better.
ZOPA	Zone of Possible Agreement. The range between the buyer's maximum and the vendor's floor. If this zone exists, a deal is possible. The AI continuously estimates where the ZOPA is based on the vendor's concession pattern.
Concession Strategy	The AI tracks how much the vendor has conceded per round and mirrors it proportionally. If the vendor moved $4 in three rounds and the gap is $6, the AI calculates optimal next move to close without over-conceding.
Guardrails	Hard limits that cannot be overridden by the AI: never exceed max_price, never waive required contract clauses, always escalate to human if confidence drops below 85%, always require human approval before finalising any deal.

Part 4 — The Four Negotiation Modes

This is the creative heart of NegotiateAI. Every negotiation on the platform is a combination of two independent choices — one by the buyer, one by the vendor. Each party chooses how much AI involvement they want. The platform handles all four combinations seamlessly.

4.0 Pre-Negotiation: What Both Sides Configure

Before any negotiation begins, each party sets their private parameters. These are never visible to the other side — only to their own AI agent. Think of it as writing your secret instructions before entering a negotiation room.

🏢 **Buyer Sets (Private):**	🏭 **Vendor Sets (Private):**
Target price: $180/unit (what we're aiming for) Maximum price: $210/unit (most we will pay) Walk-away: $220/unit (cancel and find another vendor) Required: Net-30 payment, 3-week delivery, 2yr warranty AI autonomy limit: Auto-approve deals under $100K	Floor price: $195/unit (minimum acceptable) Preferred payment: Net-60 Minimum payment: Net-45 Lead time: 4 weeks standard, 3 weeks possible AI autonomy: Auto-accept deals above $195, under $80K

🔒 **Neither party can see the other's parameters**

The buyer does not know the vendor's floor is $195. The vendor does not know the buyer's maximum is $210. This mirrors real-world negotiation. Each AI agent knows its own parameters only — the gap between them is the Zone of Possible Agreement.

Mode 1: Human ↔ Human (H↔H)

Both sides negotiate manually through the platform. AI advises silently — suggests moves, flags benchmarks — but every message is typed and sent by a human.

Best Used For

- Strategic, high-value, new supplier relationships where human judgment and relationship-building matters
- Complex contracts with many non-standard clauses
- First-time negotiations with a vendor where trust is being established

What Both Parties Experience

Buyer (Sarah) sees:

– Clean negotiation thread — her messages on the right, vendor on the left
– AI Advisor panel: "Market benchmark for this category is $175–195. Suggest opening at $175 to create room."

– Sarah reads the suggestion, decides to open at $182 instead — her call

Vendor (James) sees:

– Sarah's offer arrives instantly in the vendor portal — no email, no waiting
– Vendor AI Advisor: "Their $182 is 6.7% below your list. Counter at $192 — signals flexibility, keeps you $3 above floor."
– James reads it, decides to counter at $193 — his call

Step-by-Step — 4 Rounds to Agreement

Round 1	Sarah opens at $182. James counters at $193.
Round 2	Sarah: $186, net-45 payment, flags 3-week delivery as non-negotiable. James: $192, accepts net-45.
Round 3	Sarah: $188. James: $190, offers upgraded 3-year warranty to close.
Round 4	Sarah accepts $190 with 3-year warranty. James confirms. Both click "Mark as Agreed."
Result	PO auto-generated. Total time: 3 days. AI advised both sides — neither AI typed a single message.

Mode 2: AI ↔ Human (AI↔H)

The buyer has activated their AI agent — it negotiates autonomously within set parameters. The vendor receives messages and responds manually. Most common real-world mode today (similar to how Walmart uses Pactum).

Best Used For

- Routine, high-volume purchases where the buyer wants automation but the vendor has not set up an AI agent
- Tail-spend negotiations — the 80% of low-value contracts that never get proper attention
- Buyers who want AI efficiency with vendors who prefer human interaction

What Happens — The AI Takes the Wheel

Sarah sets her parameters and activates the AI agent. She is done. The AI handles everything until a deal is reached or an escalation is needed.

The vendor (James) receives:

🤖 **Acme Corp AI Agent [Negotiating on buyer's behalf — human contact: Sarah Chen available]**
We are interested in 500 office chairs for our Sydney office. We require delivery within 3 weeks with a 2-year warranty minimum.
Opening offer: $178/unit ($89,000 total) | Net-30 payment | Valid 48 hours

James types a counter: $194/unit, net-60, 4-week delivery. The AI receives it, analyses the concession pattern, and responds in 4 minutes:

> 🤖 **Acme Corp AI Agent — Round 2**
> We appreciate your response. The 3-week delivery is a firm requirement for this project. We are able to accommodate Net-45 as a payment compromise.
> **Counter-offer: $184/unit ($92,000 total) | Net-45 | 3-week delivery required**

The Escalation — When AI Defers to Human

After 3 rounds, the vendor holds firm at $191. The AI's confidence score drops to 71% — below the 85% threshold. It stops and notifies Sarah:

> ⚠️ **Your AI agent needs your input — Negotiation #4821**
> Current position: Your AI at $187 | Vendor holding at $191 | Gap: $4/unit ($2,000 total). Vendor states $191 is their floor. Options: [Accept $191] [Counter manually] [Authorise AI to go to $191] [Walk away]

Sarah's time invested	5 minutes to set parameters. 2 minutes to review escalation. 30 seconds to tap "Authorise AI to go to $191." Total: under 8 minutes.
James's time invested	4 short messages typed manually over 6 hours. Platform handled all structure, timing, and follow-up.
Total elapsed time	6 hours from approved request to signed PO. Without AI: 1–2 weeks minimum.
Result	$191/unit agreed. PO generated automatically. Both portals update simultaneously.

Mode 3: Human ↔ AI (H↔AI)

The vendor has deployed an AI agent to handle inbound negotiation requests. The buyer negotiates manually. This mode suits large vendors receiving high volumes of inbound RFQs who cannot respond to each one manually.

Best Used For

- Larger vendors managing 50+ simultaneous buyer negotiations
- Buyers who want to handle a strategic relationship personally while still getting fast vendor responses
- First-time buyers on the platform who have not yet configured their own AI agent

What Makes This Interesting

Sarah sends her opening offer manually at 11pm. She expects to hear back tomorrow. Instead, 3 minutes later:

> 🤖 **OfficeSupplyCo AI Agent [James Wilson available if you prefer human contact]**
> Thank you for your enquiry. Our current pricing reflects recent supply chain costs. We'd welcome a long-term arrangement which could improve terms significantly.
> **Counter-offer: $193/unit | Net-60 | 4 weeks standard / 3 weeks available with PO by Friday**

Sarah goes back and forth with the vendor AI over 3 rounds. Then she pushes to $187 — below the vendor's floor. The vendor AI escalates to James:

> ⚠️ **Negotiation review needed — James Wilson**
> Buyer Acme Corp is holding at $187/unit — below your floor price ($195). 500 units, potential value $93,500–$97,500. Buyer requirements met on delivery and warranty. Options: [Let AI continue] [Take over] [Offer volume exception] [Decline]

James reviews and takes over. He types a personal message: $195 is genuinely his floor, but he can offer free delivery (~$800 saving) and extend warranty to 3 years. Sarah considers — net-$195 with free delivery and 3-year warranty is actually better value than $188 with standard delivery. She accepts.

> 💡 **The Key Insight**
> The AI handled the routine back-and-forth and escalated at exactly the right moment — when the situation needed relationship-building and creative trade-offs that only a human could offer. The AI did not replace James; it protected his time for the moments when he actually added value.

Mode 4: AI ↔ AI (AI↔AI) — The Genuinely New Thing

Both parties have configured AI agents. The agents negotiate autonomously within their respective guardrails, surface the agreed result to both humans for final approval, and generate the PO. This is the scenario that does not exist anywhere in production today.

Best Used For

- High-volume, routine purchasing in well-understood categories
- Both parties experienced on the platform with established trust in their AI agents
- Tail-spend at scale — hundreds of small negotiations happening simultaneously

The Full Negotiation — Real Time

Neither human types anything. Both AI agents negotiate with each other completely autonomously.

Round 1 — Minutes 0 to 8

🤖 **Acme Corp AI Agent**
We are seeking 500 office chairs for delivery to our Sydney office within 3 weeks. 2-year warranty minimum required.
Opening offer: $178/unit ($89,000 total) | Net-30

🤖 **OfficeSupplyCo AI Agent**
Thank you for your enquiry. We can accommodate the 3-week delivery at this volume. Our pricing reflects current material costs.
Counter: $196/unit | Net-60 | 3-week delivery available

Rounds 2–4 — Minutes 8 to 35 (condensed)

Round 2	Buyer AI: $183 | Vendor AI: $194
Round 3	Buyer AI: $186, Net-45 | Vendor AI: $193, Net-50 (proactive concession)
Round 4	Buyer AI: $188, accepts Net-45 | Vendor AI: $192, offers 3-year warranty to close gap

Round 5 — Minutes 35 to 47 — Convergence

Buyer AI runs ZOPA analysis: $192 is within maximum ($210), within benchmark range ($188–195), all requirements met. Decision: ACCEPT.

🤖 **Acme Corp AI Agent — Accepting**
We accept your terms. The 3-year warranty is appreciated. Pending final approval from our team.
Agreed: $192/unit ($96,000 total) | Net-45 | 3-week delivery | 3-year warranty

The Human Gate — Non-Negotiable

Both humans receive a notification simultaneously:

✓ Sarah's Approval Notification	✓ James's Approval Notification
$192/unit × 500 = $96,000 Net-45 | 3-week delivery | 3-year warranty Price within budget ✓ Benchmark position: within range ✓ All requirements met ✓ **AI reasoning: "Vendor held near $192–196. Secured 3-year warranty as value trade-off."**	$192/unit × 500 = $96,000 Net-45 | 3-week delivery | 3-year warranty Price: $3 above floor ✓ Payment terms within policy ✓ All terms within AI parameters ✓

Sarah reviews for 90 seconds. Taps Approve. James reviews for 2 minutes. Taps Approve. PO generated. Total time: 51 minutes. Sarah's total effort: 5 minutes to set parameters + 90 seconds to review. Zero messages typed.

4.5 The Four Modes — Side by Side

Dimension	H↔H	AI↔H	H↔AI	AI↔AI
Time to complete	2–5 days	4–8 hours	4–8 hours	47 min–2 hrs
Buyer effort	High — types every message	Low — sets params + approves	Medium — types every message	Minimal — approves only
Vendor effort	High — types every message	Medium — types every message	Low — sets params + approves	Minimal — approves only
Best for	Strategic, complex, new relationships	Routine purchases, tail spend	Vendors with high inbound volume	High-volume routine spend, both parties experienced
AI involvement	Advisor only	Buyer side fully autonomous	Vendor side fully autonomous	Both sides fully autonomous
Human approves final?	✓ Always	✓ Always	✓ Always	✓ Always

> ⚡ **The Human Approval Gate Never Moves**
> In every single mode, no matter how much autonomy the AI has, a human must approve the final deal before any purchase order is generated. The AI negotiates. The human decides. This boundary is the foundation of enterprise trust in the system.

Part 5 — Before and After: The Real Difference

This section shows the tangible comparison between the current world and the NegotiateAI world, from each stakeholder's perspective.

	BEFORE NegotiateAI	AFTER NegotiateAI
Employee	Fill out a 15-field form. Guess at budget codes. Wait a week for approval. Chase over email. Six weeks to get chairs.	Type one sentence in plain English. AI parses it. Get a notification two hours later. Done.
Procurement Manager	80 emails a day, 14 hours/week on sourcing admin, manual reports, no real-time price visibility.	Exceptions-only queue. AI handles routine. Live spend dashboard. Automatic savings reports. Back to strategic work.
CFO	Discover overspend at month end. No visibility into maverick purchasing. Procurement value invisible.	Real-time budget dashboard. Every purchase policy-checked at intake. Savings attributed in real time.
Vendor (Large)	RFQ arrives in email. Sales rep responds when available. 1–2 week response cycle. Win/loss by silence.	RFQ arrives in vendor portal. AI agent responds in minutes. Professional structured negotiation. Feedback on every outcome.
Vendor (Small)	"Here are the terms. Take it or leave it." No negotiation. Late payments. No visibility.	First real negotiation ever — AI agent pushes back professionally. Payment timeline visible from day one.
PO Process	Someone manually types a PO, emails it, waits for confirmation. No audit trail.	PO auto-generated from agreed terms. Both parties notified simultaneously. Full audit trail automatically maintained.

5.1 The Numbers That Matter

15–30% cost savings on negotiated spend (Pactum/Walmart data)	**47 min** AI↔AI negotiation vs 6 weeks manual average	**83%** supplier satisfaction rate — higher with AI than human negotiators	**0 tools** currently offer true two-sided AI negotiation — this is the gap we fill

5.2 Why This Qualifies as a "System of Action"

The VisagioX problem statement specifically asks for AI-native enterprise software that replaces systems of record with systems of action. Here is exactly how NegotiateAI qualifies:

Old System of Record	New System of Action

SAP Ariba stores who you bought from	NegotiateAI negotiates the deal for you
Coupa records what was spent	NegotiateAI tells you if you overpaid vs market
Email tracks approval status	n8n routes approvals automatically and chases non-responders
Procurement manager manually writes POs	PO auto-generated the moment both parties approve
Vendor waits in silence for updates	Vendor portal updates in real time as deal progresses
Spend analysis produced manually at month end	Live spend intelligence visible to CFO at any moment

> 🎯 **The Hackathon Answer in One Sentence**
> NegotiateAI replaces the passive procurement system of record — which stores what happened — with an active system that makes it happen: taking a plain English request, routing approvals, negotiating the deal with AI agents on both sides, and issuing the PO without a human touching the keyboard for any of it except the final approval.

NegotiateAI — Platform Context Document — VisagioX Hackathon April 2026